IN THE NATIONAL COMPANY LAW TRIBUNAL

BENGALURU BENCH

C.P (CAA) No. 12/BB/2018

U/S 230 to 232 of the Companies Act, 2013

Order Delivered on: 26th April, 2018

IN THE MATTER OF SCHEME OF AMALGAMATION

BETWEEN

VECTRA CONSULTANCY SERVICES PRIVATE LIMITED

AND

PEREIRA HOLDINGS PRIVATE LIMITED

Coram: 1. Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)

2. Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Vectra Consultancy Services Private Limited
No. 54, Richmond Road,
Bangalore -560 025 - **Petitioner/Transferee Company**

Pereira Holdings Private Limited
1562, Next to Reva House
On the way to Benalium Beach
Vasvado Benalium
Salcete, South Goa-403716 - **Transferor Company**

Parties Present : 1) Mr. Saji.P.John

Advocate for the Petitioner Company

2) Mrs. Sinchana M.R, Advocate

Representative for the Registrar of Companies & Regional Director

Per: **Hon'ble Shri Ashok Kumar Mishra, Member (Technical) – Author**

Heard on: 16.2.2018, 28.3.2018, 11.4.2018

ORDER

The Company Petition was filed & submission made on behalf of the Petitioner Company under Section 230 and 232 of the Companies Act, 2013 praying to order for sanctioning the Scheme of Amalgamation whereby Pereira Holdings Private Limited (Transferor Company) being merged with Vectra Consultancy Services Private Limited (Petitioner/Transferee Company) so has to be binding on all the Shareholders and the secured and unsecured creditors, employees and all other relevant parties of the Petitioner/ Transferee Company.

The averments made in the Company Petitions are briefly described hereunder:-

The Petitioner Company seek an order for sanctioning the Scheme of Amalgamation of Pereira Holdings Private Limited (Transferor Company) with Vectra Consultancy Services Private Limited (Petitioner/Transferee Company).The Scheme of Amalgamation is shown as **Annexure -A.**

The Petitioner/Transferee Company was incorporated on 9th February, 1993 under the name and style as "Rag Finance & Investments Private Limited'. Subsequently on 31st March, 2010 the name of the company was changed to 'Vectra Consultancy Services Private Limited' having its Registered office at No. 54, Richmond Road, Bengaluru-560025 and obtained Certificate of Incorporation vide bearing CIN No. **U74140KA1993PTC013992.**

The Petitioner/Transferee Company's Objects as set out in its Memorandum of Association is "To provide engineering, technical, financial, management, marketing, construction, real estate and other services or facilities to individuals, firms, companies, bodies corporate, societies, undertakings, organizations, institutions, associations, government, Local authorities and any person."

The Copy of the Memorandum & Articles of Association of the Transferee Company is shown in **Annexure-B.**

Authorized share capital of the Petitioner /Transferee Company as stated in the petition is Rs.1,75,00,000/- divided in to 7,50,000 equity shares of Rs, 10/- each and 1,00,000 1% Redeemable Cumulative Preference Shares of Rs.100/- each and issued subscribed and paid up share capital of Rs. 63,43,600/- divided in to 6,34,360 equity shares of Rs.10/- each fully paid up.

Subsequently, on March 31, 2017 there has been a reclassification in the class of the Preference Shares in the Authorized Capital as stated in the petition.

The Copy of Audited Financials of the Petitioner/ transferor company as on 31st March, 2016 and is shown in **Annexure C.**

The Transferor Company was incorporated on 13th January, 2012 as a Private Limited Company under the name and style as "Pereira Holdings Private Limited. The Registered office of the Transferor Company is situated at 1562, Next to Reva House-On the way to Benaulim Beach Vasvado Benaulim, Salcete, South Goa-403716.

The Transferor Company's Objects as set out in its Memorandum of Association inter alia, as follows:

i. To purchase, or otherwise hold lands, properties, houses, buildings, sheds and other fixtures and let them on lease, rent, contract, or any agreement or arrangement as may be deemed fit and to acquire, improve, manage, develop all rights in real estate and sale, dispose off turn to account or otherwise deal with property of all kinds and to carry on trade or business of flats and other residential, commercial and industrial plots and to run resorts, hotels.

The Copy of Certificate of Incorporation, Memorandum & Articles of Association of the Transferor Company is shown in **Annexure-D.**

Authorized share capital of the Transferor Company as stated in the petition is Rs. 20,00,00,000/- divided in to 20,00,000 equity shares of Rs. 100/- each and issued subscribed and paid up share capital of Rs. 19,96,00,000/- divided in to 19,96,000 equity shares of Rs.100/- each.

The Copy of Audited Financials of the Transferor company as on 31st March, 2017 and as shown in **Annexure E.**

The Board of Directors of the Petitioner/Transferee Company and Transferor Company have approved and adopted the Scheme of Amalgamation at its respective meeting held on 4th December, 2017. The copies of Board Resolutions are shown in **ANNEXURE – F.**

That the Petitioner/Transferor & Transferee Companies had filed Company Application No.(CAA) 1/BB/2018 before this Tribunal for dispensation of the meetings of Shareholders, Secured Creditors, Unsecured Loan Creditors and Unsecured Trade Creditors of the Petitioner Company. The Copy of the Order of this Tribunal in CA(CAA) No.1/BB/2018 is shown as **Annexure- G.**

This Tribunal vide order dated 16th February, 2018 directed the Petitioner Companies to issue Notice to Regional Director, Ministry of Corporate Affairs, South-East Region, Register of Companies and Income Tax Authorities, and also to have an advertisement of Notice of Petition be carried out in the '**The Hindu**', an English daily Newspaper and '**UdayaVani**' a Kannada daily Newspaper and stating the next date of hearing was on 28th March, 2018.

In pursuant to the same the Counsel for the Petitioner Companies has filed an affidavit **dated 6th March, 2018** of the authorized signatory of the Petitioner Company for having taken paper publication as directed and also has furnished the copy of the paper publication for having taken Advertisement in '**The Hindu**', an English daily Newspaper and '**Udaya Vani**' a Kannada daily Newspaper.

The Registrar of Companies, Karnataka, Bangalore vide letter no's. 'ROCB/ Legal/CP(CAA) No.12/BB/2018 dated 22.03.2018 making some observations:

1. There are no prosecutions, complaints, technical scrutiny/inspections are pending in this office against the petitioner companies.
2. As per the scheme at Clause No.5.1 of the scheme, the entire equity share capital of the Transferor Company is held by the Transferee Company and its nominees and no new shares to the Transferee Company shall be allotted. However as per e-form MGT-7 filed for the year 2016-17 by the Transferor Company (Which is registered with ROC, Goa) it is found that the entire equity capital of the Transferor Company is held by one M/s.Hindusthan Infrastructure Projects & Engineering Private Limited and its nominee as on 31.3.2017 (and not by transferee company). Transferee Company is required to give clarification in this regard, further, if any share transfer done after 31.3.2017 the petitioner company may be directed to submit the same to justify its claim at 5.1 of the scheme. (Copy of the list of shareholders of Transferor Company as on 31.3.2017 is enclosed for ready reference.

The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies has filed Affidavit dated 27th March, 2018 making some observations:

1. That this office has been communicated by Regional Director, Ministry of Corporate Affairs, South East Region, Hyderabad, vide his Ref:F No 3/Karnataka/ Amal/ 861/ RD/(SER)/2017 dated 19.3.2018 stating therein that he being the competent authority on behalf of Central Government has examined the scheme with reference to the material papers made available to him, and report of ROC, Karnataka vide letter No.ROCB/Legal/C.P.No.CAA/12/BB/2018 dated 12.3.2018 and the Petitioner company's letter dated 5.3.2018 and it is observed that:
   a. The Transferee Company, M/s. Vectra Consultancy Services Private Limited is registered in the State of Karnataka. The Transferor Company, M/s. Pereira Holdings Private Limited is registered in Goa and hence the scheme may also be subject to the orders of Hon'ble NCLT, Mumbai Bench.
   b. That the ROC, Bangalore reported that Clause 5.1 of the scheme may require further clarification from the Petitioner Company. In this regard, it is observed that as per Clause 5.1 of the scheme, the entire share capital of the Transferor Company is held by Transferee Company is held by Transferee Company and hence no new shares towards consideration are being issued. This statement is factually correct since in the reply furnished to the query letter issued by this Directorate, the petitioner company has stated that the Transferor Company was acquired by the Transferee Company on 26.12.2017. In the provisional/unaudited Balance Sheet as at 31.12.2017 of the Transferee Company submitted to this Directorate, the name of the Transferee Company is being shown as the Holding Company of the Transferor Company. Hence, ROC's observation may not be required to be considered.
   c. Clause 10.1 of the Scheme states that the Accounting Treatment in respect of this scheme is as per AS-14 "Purchase Method" and clause 10.2 of the scheme shows that the Assets and Liabilities of Transferor Company would be transferred at

"Fair values". In the query letter reply furnished to this Directorate, the petitioner company has undertaken that the valuation report will be obtained and submitted. Hence, the petitioner company may be directed to submit the same to the Hon'ble NCLT before the scheme is finally ordered.

d. In clause no.12.1 of the scheme the petitioner transferee company has sought complete waiver of the fee and stamp duty payable on account of consolidation of the authorized share capital of the transferor and transferee company which is not acceptable in view of the provisions of Section 232(3)(i) of the Companies Act, 2013. The transferee company has to pay the differential fee and stamp duty on the increase of authorized capital after setting off the fee if any paid by the transferor company.

Director of the Petitioner Company has filed Affidavit dated 10th April, 2018 in furnishing response to the same, which are as follows:

1. For the 1st Observation: It is submitted that, the scheme may be sanctioned subject to the orders of the Hon'ble NCLT, Mumbai Bench.
2. For the 2nd Observation: It is submitted that the Transferor Company was acquired by the Transferee Company on 26.12.2017 and hence entire equity share capital of the Transferor Company is held by the Transferee Company. Accordingly, pursuant to the amalgamation of Transferor Company with the Transferee Company, no new shares are issued as consideration.
3. For the 3rd Observation: It is submitted that the valuation report has been obtained and the same is being annexed to the reply affidavit and shown as Annexure-A.
4. For the 4th Observation: It is submitted that the Transferee Company undertakes to file the differential stamp duty and differential fee (if any) over and above the stamp duty and ROC fee already paid by the Transferor Company on the authorized share capital.

The Counsel for the Petitioner/Transferor Company has filed copy of Accounting Treatment Certificate **dated 18th December 2017** of the Auditor stating that "Based on our examination and according to the information and explanations given to us we are of the opinion that the accounting treatment contained in Clause 10 of Part C of the

aforesaid Scheme is in compliance with the applicable Accounting Standard notified under section 133 of the Companies Act,2013 r/w rule made there under, and other generally Accepted Accounting Principles as applicable. The Auditors Certificate on Accounting Treatment is shown as **Annexure-H**.

After hearing the Counsel for the Petitioner Companies and considering the materials on record the Scheme appears to be fair, reasonable and is not detrimental against the Members or Creditors or contrary to public policy and the same can be approved,

THIS TRIBUNAL DO FURTHER ORDER

While Approving the Scheme, we make clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specially required under any law.

The Whole of the property, rights and powers of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and vest in the transferee company for all the state and interest of the Petitioner/Transferor Company therein but subject nevertheless to all the charges now affecting the same; and

All the liabilities including taxes and charges, if any, and duties of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee Company; and

The tax implications, if any, arising out of the scheme is subject to final decision of Concerned Tax Authorities and the decision of the Concerned Tax Authorities shall be binding.

All the proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company, if any; and

The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Amalgamation to be delivered to the Registrar of Companies for registration in accordance with Rule 25 (7) of Companies (Compromises, Arrangements & Amalgamations) Rules, 2016.

The order of this Tribunal shall come into effect, subject to passing of the order in case of Transferor Company, M/s.Pereira Holdings Private Limited (Registered in Goa) by National Company Law Tribunal, Mumbai Bench.

The Scheme shall be effective from the appointed date as mentioned in the Scheme of Amalgamation i.e. 1st April, 2017.

The Transferor Company or its Authorized Signatories are directed that after the completion of the process of Amalgamation to handover the possession of the Books of Accounts and other relevant documents of the Transferor Company to the Transferee Company for the purpose of section 239 of the Companies Act, 2013.

Any person shall be at the liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

ASHOK KUMAR MISHRA
MEMBER, TECHNICAL

RAJESWARA RAO VITTANALA
MEMBER, JUDICIAL